

Markets Research

Superannuation Thematic



DEEP DIVE: Portfolio Holdings Disclosure – Analysis from 16 large Super Funds

- As of the December 31, 2024 latest reporting date, across 16 of Australia's largest Superannuation funds representing some 60% of the Total Assets of the APRA regulated sector, MySuper portfolios show an average 73/27% growth/defensive asset allocation split
- Equities account for 60% of MySuper portfolios, on average split 55/5% listed/unlisted
- Most funds use derivatives to 'equitize' cash, adding an average of 1.3% to MySuper portfolio values and 1.1% to Total Assets
- FX derivatives reduce average currency exposure from 47% to 19%, with wide variation across funds
- Domestic listed equity allocation shows a bias to overweight Materials at the expense of Financials with notable dispersion across IT, Real Estate and Financials
- For international listed equities, Health Care is overweight, Utilities and Energy underweight
- At a regional level, Asia Pacific and Europe are overweight relative to the MSCI ACWI ex- Australia, while China, Japan, and the US are underweight
- Currency allocation vs benchmark shows overweight exposures to CNY/CNH, EUR, and GBP, and underweight exposures to JPY and USD
- CBA, BHP and CSL are the top three holdings globally. The top 5 international stocks are all members of the 'Magnificent 7'
- Infrastructure is by far the most favoured unlisted asset class, comprising 43.3% of unlisted investments, followed by unlisted equities (28%) and property (22%)
- The 16 funds hold 17% in fixed income (FI) assets (16% in MySuper), of which 59% is held by external managers and 41% is managed internally. There is a lot of variation across internally managed FI but investment in Big Four banks is the largest at 26%

This report analyses Portfolio Holdings Disclosure (PHD) data for a large cross-section of Australian Superannuation Funds, for the last reporting period (December 31, 2024). This is by way of prelude to NAB updating the analysis for the June 2025 reporting period, required of Funds by September 30. The latter will then provide an authoritative snapshot of how portfolio allocations, and currency risk management, may have changed in the months since President Trump commenced his second term. Our PHD analysis will then complement NAB's biennial Super Insights survey, currently in the field and expected to be published in Q4 this year.

For the analysis, NAB examined data taken from 16 of Australia's largest super funds, with a focus on their most representative MySuper or similar investment product as well as aggregate ('Total Assets') exposures. It breaks down their asset holdings across: Equities, Fixed Income, Infrastructure, Alternatives, Property and Cash, together with the derivatives applied to underlying holdings (Asset level and FX).

At the Total Assets level, the study covers more than a million individual holdings across listed, unlisted, and fixed interest assets with a combined value of AUD 1.75trn, representing 60% of the (mostly APRA regulated) industry's assets under management. For the selected (single) representative MySuper option for each Fund, the combined asset value is AUD 725bn (43% of Total Assets).

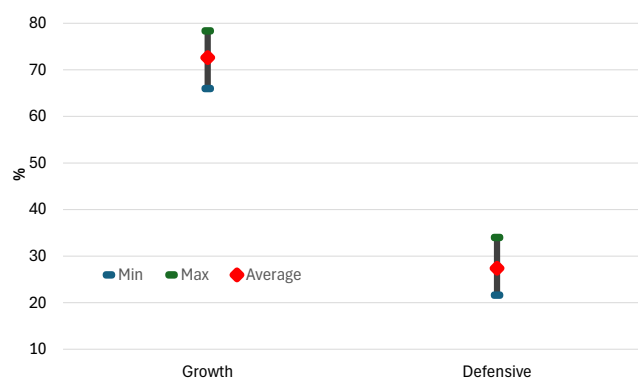
Key Findings:

1. Growth/Defensive split averages 73/27% in MySuper

As per Chart 1, for the MySuper products examined, the average growth/defensive split is 73/27% with a range across individual funds of 78/66% for growth assets and 34/22% for defensives. This compares to an average 70/30% split across Total Assets of the 16 Funds with a broader 78/61% range for growth assets and 39/22% for defensives.

Of the 73% average (i.e. not Fund-weighted) allocation to growth assets, 79% are in equities, both listed and unlisted, with the remaining 21% split across Listed Infrastructure and Property, Alternatives, and Unlisted Property and Infrastructure (see [here](#) for the APRA definition of growth and defensive assets).

Chart 1: MySuper Allocations - Growth vs Defensives



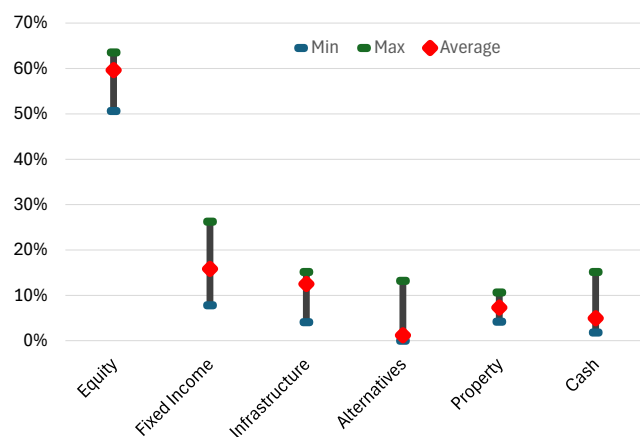
Source: PHD Data of 16 large Funds, NAB

2. Asset allocation: MySuper equity allocation averages 60%

For the MySuper-like funds (Chart 2) the average allocation to equities (listed and unlisted) is 60%, within a range of 51% to 64%. The biggest variations in allocations across asset classes are in Fixed Income, ranging from 8% to 26%, though the range is exaggerated in so far as only one fund has an allocation of less than 14% (the average is 16% and median 19%).

The large variation in allocation to Alternatives is similarly exaggerated but the other way, with one fund having a particularly large allocation (14%) with no other having more than 5.0%, seven funds allocating less than 0.5% (of which two have no allocation).

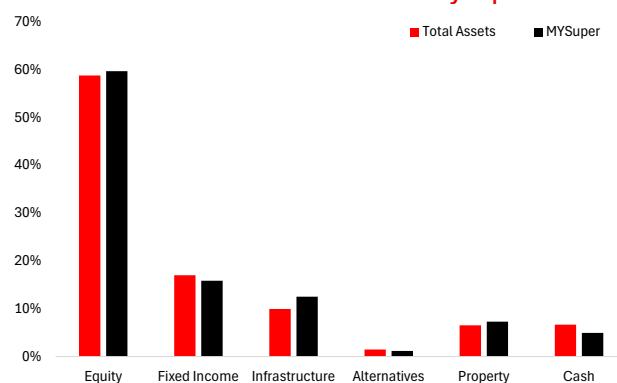
Chart 2: Asset Allocation - MySuper like products



Source: PHD Data of 16 large Funds, NAB

Allocations to different asset classes at the Total Assets level aren't much different than for MySuper allocations, e.g., 59% of Total Assets allocated to equities versus 60% for MySuper products. MySuper products do though see smaller allocations to Fixed Income and Alternatives, largely at the expense of higher allocation to Infrastructure. Of note too, MySuper products hold on average slightly less cash than at the Total Assets level.

Chart 3: Asset Allocation - Total vs MySuper



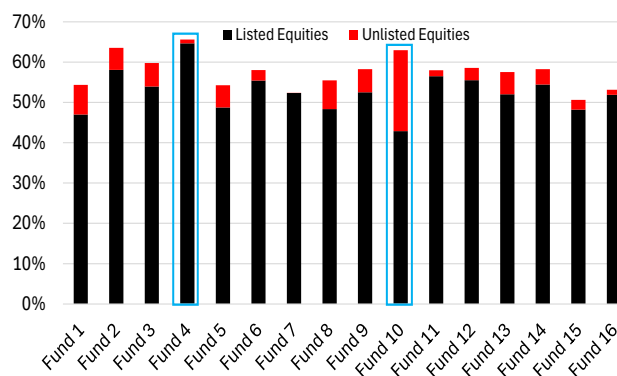
Source: PHD Data of 16 large Funds, NAB

3. Unlisted equities make up +/-5% of equity portfolios

Within overall equity allocations, which for both MySuper and Total Asset allocations are very similar (~58% of total assets) of some note the average allocation to listed equities is higher within the MySuper portfolios (52.7% listed, 4.9% unlisted) than for Total Assets allocations (51.8% listed, 5.8% unlisted). Listed equities are mostly managed internally while unlisted is a combination of both internal and external management.

Yet when it comes to Infrastructure and Property, there is a bigger overall allocation within MySuper portfolios (averaging 17.7%) than Total Assets allocations (15.6%) and with a stronger preference for unlisted over listed assets in both categories. In terms of numbers, MySuper allocates 9% to unlisted infrastructure and 5.4% to unlisted property, against 7.7% and 4.5% respectively for Total Assets.

Chart 4: Equities Allocations - Listed vs Unlisted

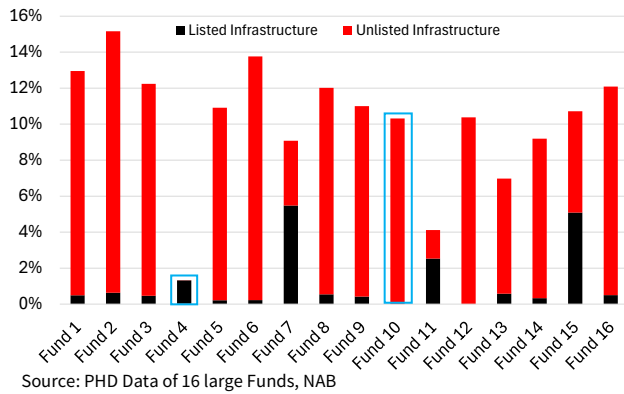
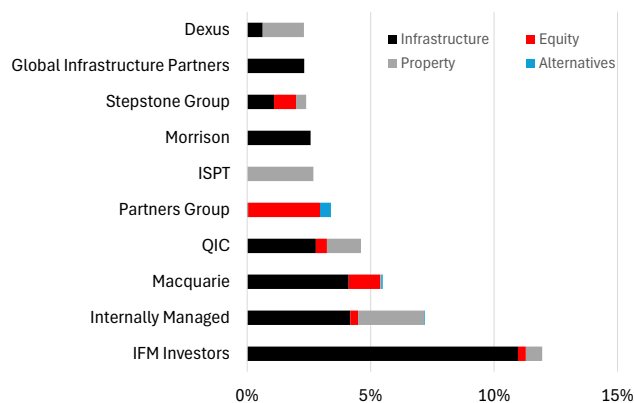


Source: PHD Data of 16 large Funds, NAB

4. Infrastructure much the preferred unlisted asset

A closer look at unlisted assets shows that the bulk of unlisted investment is concentrated within infrastructure (43.3%), unlisted equities represent 28% while property stands at 22%. Alternatives have a minor exposure with 7%.

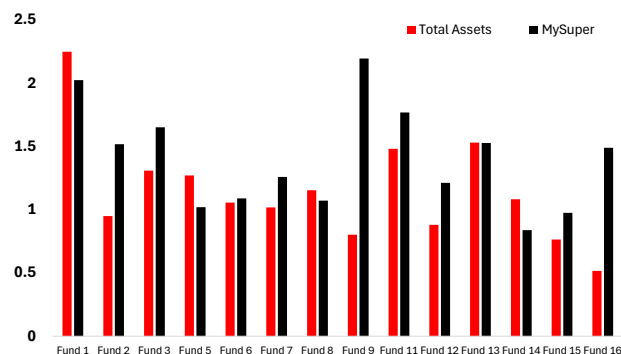
Amongst the 16 Funds, more unlisted assets are managed via IFM Investors than are managed internally (Chart 6), heavily concentrated in Infrastructure. Partners Group stands out as the largest external manager for Unlisted Equities and ISPT for Unlisted property.

Chart 5: Asset Allocation in MySuper like products**Chart 6: Top 10 managers of unlisted assets**

Source: PHD Data of 16 large Funds, NAB

6. Derivatives mostly enhance asset valuations

All except one of the 16 Funds sampled 'equitize' part of their cash holdings using derivatives to enhance overall asset values. As per Chart 7, on average these added 1.3% to the value of underlying holdings in MySuper portfolios as 31 Dec, and 1.1% across Total portfolios.

Chart 7: Impact of derivatives on asset values

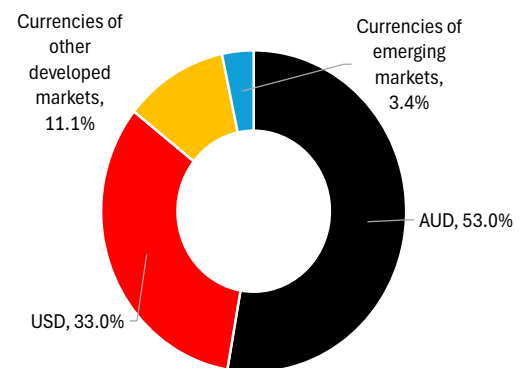
Source: PHD Data of 16 large Funds, NAB

7. Domestic/Foreign MySuper Split averages 53/47%

Chart 8 shows the average domestic versus foreign currency exposure across MySuper products prior to hedging. It reveals a 53% domestic/47% international split meaning that, at least for MySuper products in our sample, offshore asset allocation, as of the end 2024, had not yet – on average – crossed the 50% threshold.

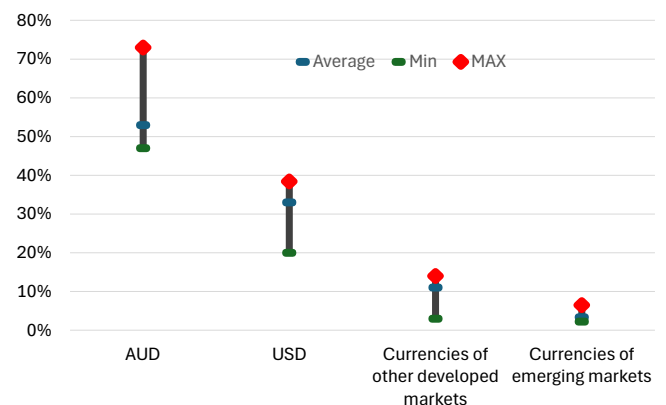
On a Fund-weighted basis the Foreign/Domestic split is higher but at 48.5% still doesn't cross the 50% threshold. A more comprehensive picture will be revealed in the forthcoming NAB Super Insights survey, which covers 36 Funds, though we can note here that the larger Funds in our sample tends to have the larger share of allocations to international assets.

Of the overall foreign currency exposure (pre-hedging) 33% of total MySuper Assets or 70% of total foreign currency exposure is in USD. 11% (23% of total FX) is in the currencies of Developed Markets other than the United States and 3% (6% of total FX) is in Emerging Markets.

Chart 8: Currency Exposure Before Derivatives

Source: PHD Data of 16 large Funds, NAB

Variances around these averages are high, with domestic (AUD) exposure ranging from 47% to 66%, exposure to the USD of between 24% and 38%, to other DM currencies between 7% to 14% and to EM currencies between 2% and 7% (Chart 9).

Chart 9: Currency Exposure Before Derivatives

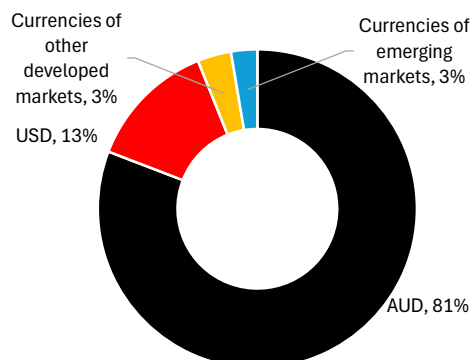
Source: PHD Data of 16 large Funds, NAB

8. Hedging reduces average currency exposure to 19%

The use of FX derivatives reduces FX exposure in MySuper portfolio from an average of 47% to 19%, with a wide variation, from a low of 13% to a high of 25%. The 19% average currency exposure is just on the low side of the results of the NAB 2023 Super Insights survey which showed a median target (MySuper) currency exposure of 20-21%.

Whether the 19% result for our PHD sample signifies a slight reduction in currency targets (or a tilt to underweight relative to strategic target) is a question that can hopefully be revealed in the NAB Super Insights survey, and also when we update these PHD results for the June 2025 disclosures, coinciding with the NAB survey period. This is also where we would be interested in finding out if there have been significant changes to FX hedging behaviour in the first six months of the Trump administration.

Chart 10: Currency Exposure Including Derivatives



Source: PHD Data of 16 large Funds, NAB

USD exposure represents 13% of the 19% total FX exposure, or 68% of overall FX exposure (ranging from 7% to 16%) the remaining 6% splits equally between other Developed Market (DM) FX and Emerging Market (EM) FX. On the latter there is, on average, much less hedging of EM than DM FX exposure, reducing a pre-hedged exposure of 3.4% to 3.0%, meaning just 12% of EM exposure on average is being hedged back to AUD. The range here is exceptionally wide, from as much as 48% to, in one case derivatives being used to increase EM FX exposure (from 3% to 4% of total MySuper assets).

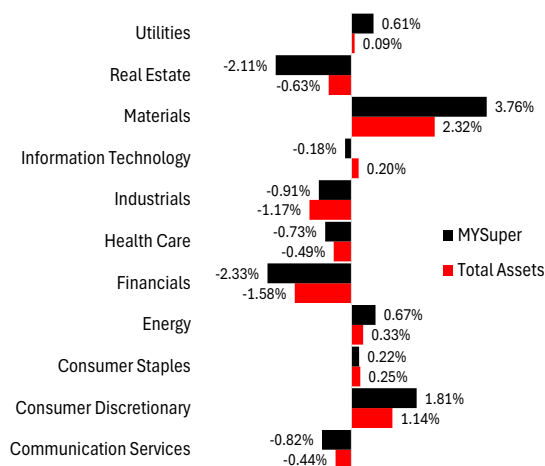
One observation regarding hedging of DM exposures but which we shouldn't weight too heavily given differences in the average asset mix between US and other DM, is that Funds on average hedge less of their USD exposure than other DM, possibly reflective of the perceived defensive qualities of short AUD/USD exposure against, specifically, long US equity exposures. Whether this changes in the Trump II era, is a theme to watch.

9. In OZ: Overweight materials, underweight financials

Funds typically benchmark their domestic equity portfolios to the ASX300. Chart 11 shows the average deviations of MySuper and Total Assets Australian equity allocations from the relevant ASX300 sector weights.

Sector allocations are broadly aligned with the S&P/ASX300 benchmark, both for Total Assets and MySuper portfolios, yet with some notable deviations. Under Total Assets, the allocation to Materials (i.e. mostly miners) of 20.4% is a sizeable overweight relative to the 18.1% ASX benchmark, and for MySuper portfolios the overweight is larger still at 3.76%. This is largely compensated for with an underweight to financials (i.e. mostly banks) at 31.6% against the 33.2% benchmark for All Assets and 30.9% for MySuper portfolios.

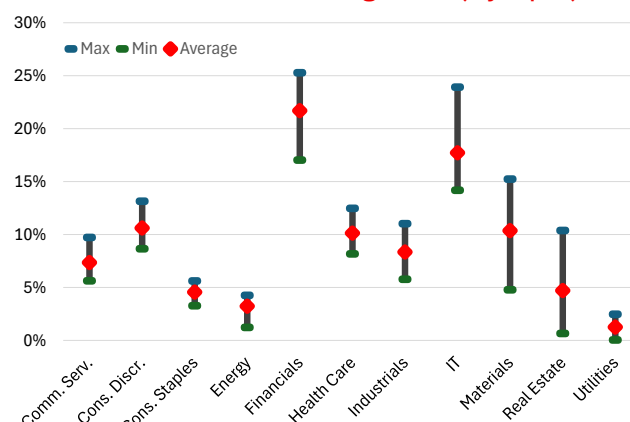
Chart 11: Sector exposures vs ASX300 weights



Source: PHD Data of 16 large Funds, NAB

For other sectors with an over or underweight of more than 1%, Consumer Discretionary stands out as the prime overweight (1.8% in MySuper, 1.1% for All Assets) with the main offset in MySuper coming from the 2.1% underweight to Real Estate and in All Assets via a 1.2% underweight to Industrials. Health care is underweight in domestic portfolios but overweight in international allocations (see Chart 13). Across the separate MySuper portfolios, the biggest variations in allocations between lowest and highest, is in IT, Materials, Real Estate and Financials (in all cases of close to 10%).

Chart 12: ASX300 Sector divergences (MySuper)

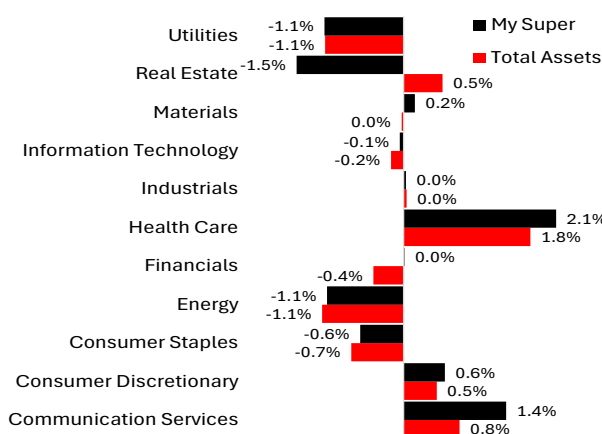


Source: PHD Data of 16 large Funds, NAB

10. International listed allocation: Health Care wins big

Given the well documented challenges facing some operators in the Australian health care sector, it is no surprise to see the sector underweight in domestic asset allocations. We can reasonably speculate that this is being compensated by overweights applied, on average, to Health Care in international sector allocations relative to MSCI ACWI sector weights. For MySuper portfolios, the overweight is to 11.8% vs the 9.7% benchmark and for Total Assets 11.4%. Utilities and Energy are the two principal underweights, especially in MySuper portfolios. Of note, financials are underweight in both domestic and international listed equities.

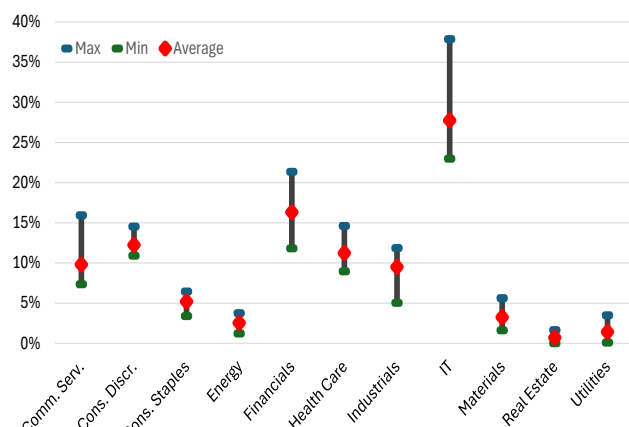
Chart 13: Sector exposures vs MSCI ACWI-ex Aus



Source: PHD Data of 16 large Funds, NAB

Two examples where averages can be misleading are in Information Technology and Financials. In both cases, average deviations from benchmarks are minimal, yet across IT, the variation across individual funds is substantial. IT sector allocations vary from 24.6% to 37.9%, doubtless reflective of the diverging Investment Committee views, whether on valuation or other grounds, of the 'Magnificent 7' US stocks.

Chart 14: MSCI ACWI Sector divergences (MySuper).



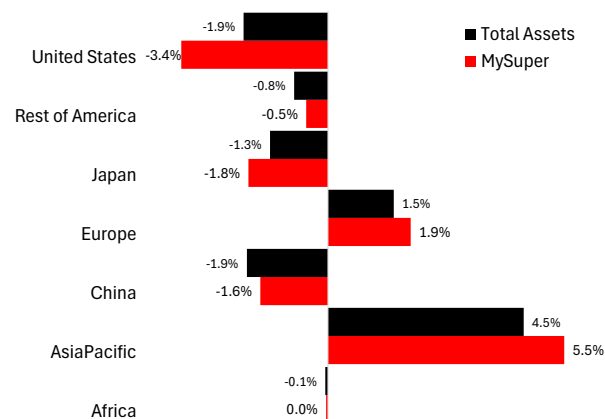
Source: PHD Data of 16 large Funds, NAB

11. Country deviation vs Benchmark

Using the MSCI ACWI ex Australia weightings, we also compare MySuper and Total Assets country and currency allocation vs benchmarks. Allocations to both MySuper and at the Total Assets level are significantly overweight in the Asia Pacific region, with MySuper allocating 11% and All Funds 10%, compared to just 4.7% in the benchmark.

Europe is also overweight in both groups, with MySuper at 16% and Total Assets at 15%, exceeding the benchmark's 13.8%. Conversely, China is underweight in both groups, with MySuper at 3% and All Funds at 2%, compared to 5.2% in the benchmark. Japan is similarly underweight, particularly in MySuper at 3% versus 4.9% in the benchmark. The United States, while still the dominant allocation, is slightly underweight in both groups, with MySuper at 64% and Total assets at 66%, compared to 67.7% in the benchmark.

Chart 15: MSCI ACWI Country divergences



Source: PHD Data of 16 large Funds, NAB

The listed vs unlisted allocation probably plays a part in the country allocation. We would suggest that some of the country underweights, particularly the US, is probably not as pronounced once the unlisted allocation has been considered. Then in Asia, the treatment of Hong Kong stocks likely skews the China/Asia divergence (i.e., China underweight vs. AsiaPacific overweight).

Variation across individual funds is also significant. For example, Asia Pacific exposure ranges from 5% to 16% in Total Assets and 5% to 22% in MySuper, perhaps reflecting different strategic views or a more pragmatic approach to investing (bigger teams can cover global investments in more detail). China exposure varies from 0% to 6% in Total Assets and 0% to 8% in MySuper, this may also be a function of divergent risk appetites. Europe allocations range from 9% to 22% in Total Assets and 3% to 21% in MySuper, while US exposure spans from 46% to 80% in All Funds and 47% to 79% in MySuper.

As noted previously, there are a couple of funds that have much bigger allocation to unlisted vs listed and this could be skewing the country divergence analysis.

12. Currency deviation vs Benchmark

Looking at MySuper and All funds currency deviation vs the MSCI all World ex Australia, one of the most notable differences is the significant overweight in Chinese currency (CNY/CNH) exposure. MySuper funds allocate 3% and Total Assets 2% to CNY/CNH, compared to just 0.4% in the benchmark. Here is where the treatment of Hong Kong listed stocks (HKD or CNH) may be skewing some of the data, but even so relative to the Benchmark there is a clear appetite to hold CNH/CNY stocks by most funds.

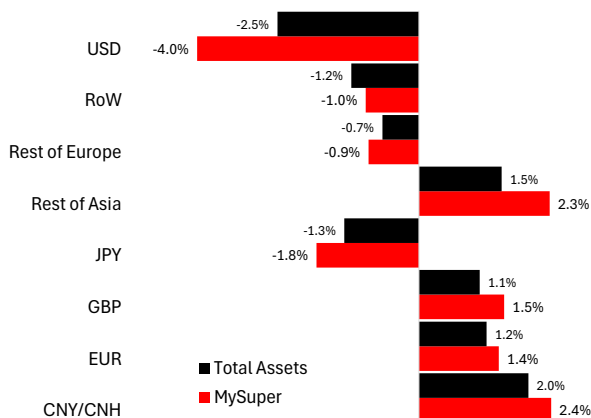
European currencies also show a modest overweight. Both MySuper and All Funds allocate 8% to EUR, exceeding the benchmark's 7.0%. Similarly, GBP exposure is higher in MySuper (5%) and Total Assets (4%) than the benchmark's 3.1%, indicating a preference for UK and Eurozone equities. Conversely, JPY exposure is underweight in both groups, with MySuper at 3% and Total Assets at 4%, compared to 4.9% in the benchmark.

Rest of Asia currencies are significantly overweight, with MySuper at 11% and Total Assets at 10%, compared to 8.4% in the benchmark. Rest of Europe and Rest of World (RoW) are slightly underweight in both groups, suggesting a more selective approach to Emerging Markets.

The US dollar remains the dominant currency exposure but is slightly underweight in both MySuper (64%) and Total Assets (66%) relative to the benchmark (68.2%).

Variation across individual Funds is substantial. CNY/CNH exposure ranges from 0% to 8%, EUR from 3% to 14%, and GBP from 0% to 7%. Rest of Asia exposure varies widely from 5% to 21%, while USD exposure spans from 47% to 79%. As noted previously, some Funds have outsize allocation to unlisted assets, which could be exaggerating the currency weighting divergence when just looking at listed assets.

Chart 16: MSCI ACWI currency divergences

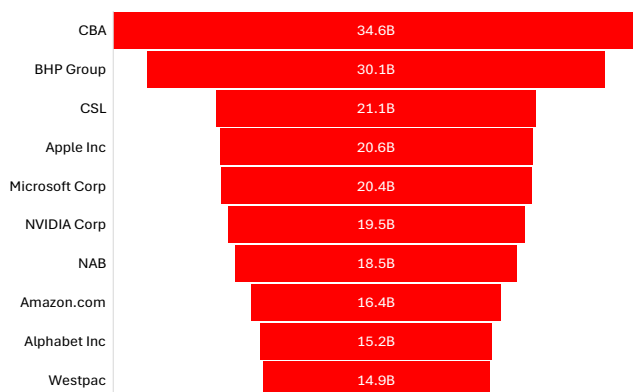


Source: PHD Data of 16 large Funds, NAB

13. Individual Listed Equity Holdings

A glance at the individual listed equity exposures of the 16 Funds examined superficially speaks to concentration risk – the top ten holdings accounting for 23% of total listed equity holdings (Chart 17). Yet we can quickly see, as per section 9 and 10 above, that this simply reflects, with only minor variance, the weights of these stocks/sectors in the equity benchmarks tracked by most Funds.

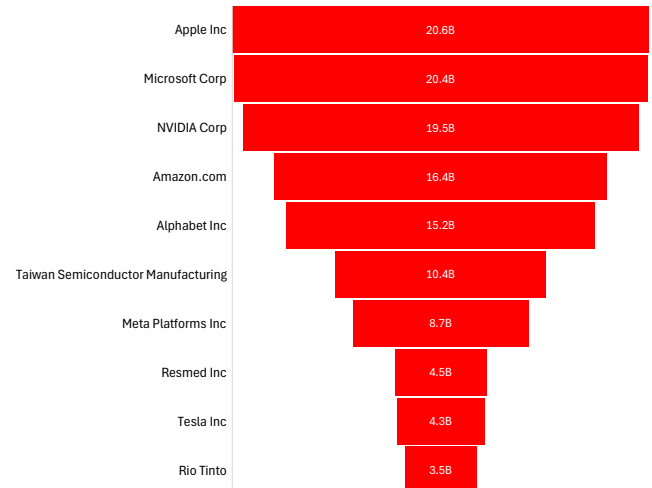
Chart 17: Top 10 holdings – overall (Total Assets)



Source: PHD Data of 16 large Funds, NAB

For instance, while every one of the ‘Magnificent 7’ US technology stocks feature in the top ten international holdings (Chart 18) these Funds are, collectively, almost exactly on benchmark in IT relative to the MSCI (ex-Aus) ACWI (Chart 13) albeit the variances from benchmark across individual funds are higher for the IT sector than any other (Chart 14).

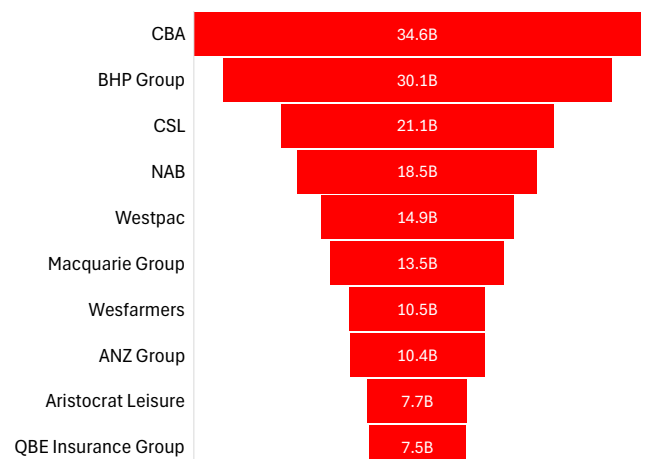
Chart 18: Top 10 holdings – international



Source: PHD Data of 16 large Funds, NAB

Given the ‘home bias’ of Australian Superannuation Funds where around 50% of assets are deployed domestically, it’s no surprise that the biggest Australian bank (CBA) and biggest resources company (BHP) occupy the top two slots for global holdings and with its biggest health care company (CSL) in third place – the latter despite the fact that, as noted in section 9 above, Funds are overall underweight the Australian health care sector, seemingly compensated via overweight to health care stocks outside Australia (Chart 15 again). And, while all of the big four Australian banks and Macquarie Bank figure in the top ten domestic holdings (Chart 19), Financials represent the biggest underweight for Funds, collectively, relative to its ASX300 sector weight (Chart 11).

Chart 19: Top 10 holdings – domestic



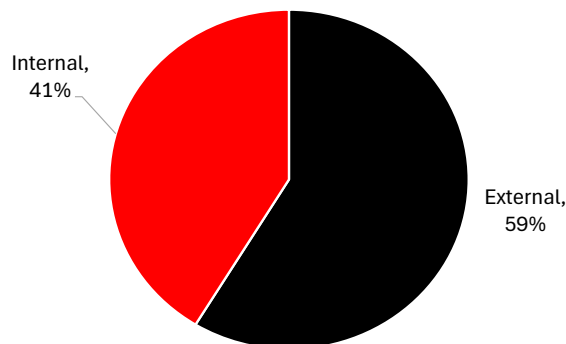
Source: PHD Data of 16 large Funds, NAB

3. Fixed Income allocation reveals an external/internal split of 59%/41%

Of the total AUM (AUD 1.76trn), the 16 funds hold 17% in fixed income assets (FI), of which 59% is held by external managers and 41% is managed internally. In value terms we are talking about \$300bn in FI of which \$124bn is managed internally.

The 'Other' bucket (14%) includes corporates with many offshore names (AUD and other currencies debt). Australian Semis represent 11% while Offshore government and semi government debt account for 9% with ACGBs and Private debt also accounting for another 9% each.

Chart 20: Total Asset external vs internal FI split

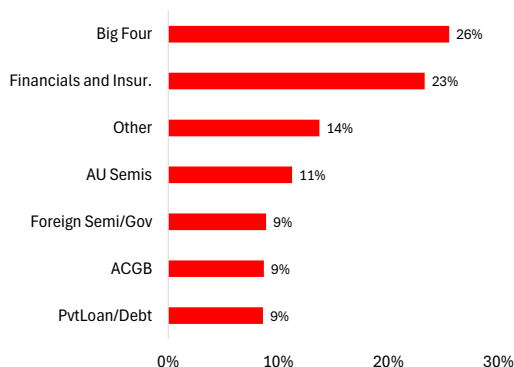


Source: PHD Data of 16 large Funds, NAB

Delving into the internally vs externally managed FI, there are meaningful variations between funds. Out of the 16 funds we analysed, five do not have internally managed FI and of the remaining 11, one has as little as 3% while another is 100% internally managed.

We also looked at the composition of the internally managed FI. However, it is worth stressing that when looking at the internal data we are only getting a partial picture given that a bigger portion of the total FI allocation is externally managed (59%), thus one must assume the internal FI investment decisions will be affected by what has been allocated externally. It is also worth noting that funds do not provide identifiers for the FI holdings (for instance, no ISINs), in consequence there are challenges when attempting to classify this data.

Chart 21: FI allocation (internally managed only)



*Debt issuance can be both AUD and other currencies
Source: PHD Data of 16 large Funds, NAB

Putting these caveats to one side, we note that within the internally managed FI, the Aussie big four banks represent the biggest allocation at 26% followed by financial and insurance debt at 23%- note this bucket includes both domestic and overseas debt in AUD and other currencies.

* The authors would like to acknowledge Euan Marshall's invaluable contribution to the Python work and data gathering required for this research note.

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